Fund IV - Summary of Fees & Expenses

Halvoran Ridge Capital Partners IV, L.P. | Extract from Private Placement Memorandum

This summary describes the principal economic terms of Halvoran Ridge Capital Partners IV, L.P.. It is qualified in its entirety by the Limited Partnership Agreement (LPA) and the Private Placement Memorandum.

Management fee

Period	Rate	Basis
Investment period (5 years)	1.50% per annum	Total commitments
Post-investment period	1.25% per annum	Net invested capital
Commitments of $250m or more	1.25% / 1.00%	Same bases as above
First-close investors	10 bps discount	Applies for the life of the fund

Carried interest and waterfall

The general partner receives carried interest of 20% of profits, subject to an 8% annual compounding preferred return. The fund uses a whole-of-fund (European) waterfall with a 100% GP catch-up. A clawback applies at the end of the fund term, net of taxes, and is guaranteed by the senior partners.

- Step 1: 100% to LPs until return of contributed capital.
- Step 2: 100% to LPs until an 8% preferred return.
- Step 3: 100% to the GP until it has received 20% of cumulative profits (catch-up).
- Step 4: 80% to LPs / 20% to the GP thereafter.

Fee offsets

100% of transaction, monitoring, director and break-up fees received by the firm or its affiliates are offset against the management fee.

Fund expenses

Expense	Borne by	Cap / note
Organisational expenses	Fund	Capped at $4.0 million; excess borne by the GP
Broken-deal expenses	Fund	Allocated pro rata with co-investors
Audit, tax and fund administration	Fund	No cap
Placement agent fees	GP	100% borne by the GP
Firm overhead and salaries	GP	Not charged to the fund
Operating Group (portfolio support)	Portfolio companies	Capped at $1.5m per company per year

Other key terms

- Key person: triggered if two of Marguerite Oyelaran, Daniel Krystof and Ananya Raghunathan cease to devote substantially all of their time to the firm. Suspends the investment period.
- No-fault removal of the GP: requires a 75% in-interest vote of limited partners.

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- LP Advisory Committee: 7-11 members drawn from the largest investors; reviews conflicts of interest.
- Recycling: up to 20% of commitments may be recycled from realisations within 18 months of investment.

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